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AI Action Plan

Faisal D'Souza, NCO
Networking and Information Technology Research and Development
National Science Foundation
2415 Eisenhower Avenue
Alexandria, VA 22314

Via Email: [REDACTED]

Dear Mr. D'Souza:

The Small Business & Entrepreneurship Council (SBE Council) appreciates the opportunity to submit comments in response to the Request for Information (RFI) on the Development of an Artificial Intelligence (AI) Action Plan, issued by the Networking and Information Technology Research and Development (NITRD) National Coordination Office (NCO) at the National Science Foundation (NSF), on behalf of the Office of Science and Technology Policy (OSTP).

As an advocacy organization representing entrepreneurs and small business owners for more than 30 years, SBE Council has supported transformative technological innovation and disruption, as it has been extremely positive for America's small businesses. Artificial Intelligence (AI) is no different. AI is revolutionizing how entrepreneurs launch businesses and how Main Street businesses compete and grow. From cutting costs and streamlining operations to enhancing decision-making and engaging with customers, AI is empowering small business owners and freeing time and resources, allowing both owners and their employees to focus on high-value work. Moreover, U.S. entrepreneurs are at the heart of AI innovation. They are the creative and disruptive force behind these innovative tools that are helping the U.S. sustain technological leadership in the global marketplace.

To that end, the U.S. absolutely can maintain its lead in "the AI race" if policies give our entrepreneurs the freedom and resources to succeed. Policies matter, and SBE Council supports measures that work to encourage investment, innovation and adoption.

Entrepreneurs and Small Businesses Embrace AI

Small business owners are avid users of AI solutions and tools. Over the past three years, adoption among small businesses has rapidly accelerated, as revealed in SBE Council surveys. In these surveys, small business owners report that AI solutions are delivering significant cost savings, boosting productivity, and enhancing customer acquisition and engagement. Business owners report that AI is allowing them to manage operations more effectively and scale their businesses in ways that were previously unattainable. With 84% of small businesses now using these tools, AI is no longer an emerging technology - it is a critical driver of small business success.

As the OSTP develops an AI Action Plan, it is imperative that federal policies consider small business impact and benefits, and how these policies can further accelerate adoption and innovation among small businesses and AI startups. Overly restrictive regulations, high compliance costs, and rigid licensing requirements can create significant barriers for small business and the AI startup ecosystem driving this revolution, putting them at a competitive disadvantage compared to larger players. Indeed, it has been a long-established principle that regulatory burdens disproportionately harm startups and small businesses, either by raising barriers to entry or by increasing costs for small business users. Both put small firms at a competitive disadvantage to larger firms, and when that happens the economy becomes less vibrant and consumers have fewer choices. In addition, innovation suffers.

The following points, drawn from our surveys, highlight the significant benefits AI is providing to small businesses, which underscores the importance of a policy framework that cultivates innovation in AI and emerging technologies in general:

Widespread Adoption: 84% of small businesses are utilizing AI tools across various business functions. ([Small Business Checkup Survey](#))

Cost Savings and Profitability: 93% of small business owners agree that AI tools offer cost-effective solutions that drive savings and improve profitability. ([Small Business AI Adoption Survey](#))

Time Savings: AI adoption has led to an estimated annual savings of approximately 6.33 billion hours for small businesses, translating to about \$273.5 billion saved annually (2023). ([Small Business AI Adoption Survey](#))

Enhanced Efficiency: 76% of small business owners report that AI is freeing both them and their employees of time to focus on high-value tasks. ([Small Business AI Adoption Survey](#))

Revenue-Generating Enhancements: Small businesses are using AI to free up resources to enhance customer engagement and retention. ([Small Business Checkup Survey](#))

Motivations for AI Adoption: Business owners are rapidly adopting AI tools due to their comfort with technology, and the need to improve efficiency and reduce costs. ([Small Business AI Adoption Survey](#))

Small Business Owners are Bullish on AI: Small businesses are investing in AI - 83% of small business owners said they would maintain or increase their AI spending through 2025, reflecting confidence in the value of these technologies. ([Small Business Checkup Survey](#))

AI Policy, Entrepreneurs and Main Street Small Businesses

AI is empowering and powerful. It is a positive development, and that needs to be loudly articulated at the federal level. That positive signal will serve to fuel actions nationally to embrace AI (not fear it) and the need for government at all levels, institutions of learning, and businesses to support a forward and positive vision on the role of AI in energizing economic opportunity. SBE Council would like to see an Action Plan that forcefully promotes the following:

Pro-Investment Policies: Encouraging private-sector investment is critical toward bringing AI innovations and startups to the market. From tax to antitrust policy, and barriers created via excessive regulation in securities laws, government intrusion and short-sightedness are harming capital access and formation. SBE Council encourages policies that modernize and lower regulatory barriers, lower taxes, and provide investment incentives (such as immediate R&D expensing, lower capital gains taxes, and competitive tax rates in general) to fuel investment. The merger and acquisition ecosystem must return to a “best in class” model, rather than the arbitrary, confusing and costly one it has become via Biden-era rules and guidelines. A light-touch regulatory framework would support entrepreneurs and small businesses, and Congress should develop a framework that preempts the growing patchwork of proposed state laws that undermine AI advancement and adoption.

Educational and Infrastructure Support: Programs funded at the federal, state and local levels – via various federal departments and agencies such as Labor, the Small Business Administration and others, as well as state and local governments – must be thoroughly modernized to include outcomes that align with the workforce skills and technical proficiency required in an increasingly AI-immersed marketplace and workplace. Federal policies need to support innovative educational approaches at every level of our educational systems. Energy policy must be thoughtfully restructured to support power demand, including addressing outdated regulation along with dated thinking with respect to nuclear power.

We live in a period of rapid change energized by new and emerging technologies. SBE Council believes this disruptive change continues to benefit our entrepreneurs and small businesses. Especially because the U.S. continues to lead the world in innovation and our businesses have ready access to these tools in order to stay competitive. The most productive thing U.S. policymakers can do to fuel American technological innovation and greatness – via AI and yet to be determined innovations down the road - is to stay out of the way. To use existing law to address real market problems when they emerge – rather than creating new laws and rules that address contrived or “maybe” problems that have yet to materialize.

As innovators creating AI tools - and as entrepreneurs using AI to compete and grow their firms - small business owners have a significant stake in the future of U.S. technological innovation.

Having access to these tools means small businesses can compete at home and abroad, and in doing so can continue to play an important role in bolstering the U.S. economy. As innovators, they are at the center of driving U.S. dominance, especially against China. Empowering U.S. entrepreneurs and small businesses through pro-investment, pro-innovation policies will have an outsized impact on economic leadership moving forward, and SBE Council encourages the Administration to support them at every level and continually tap into their know-how and ideas in the development and execution of the AI Action Plan.

Sincerely,

Karen Kerrigan
President & CEO

Protecting Small Business, Promoting Entrepreneurship

800 Connecticut Ave. NW • Suite 300 • Washington, D.C. 20006 • (703)-[REDACTED]

www.sbecouncil.org